

Germany's Reckoning

Deindustrialisation, the Energy Crisis, and the Rise of the AfD

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Executive Summary

Germany confronts a structural inflection point of historic severity. Three crises have converged simultaneously: a deindustrialisation shock driven by the loss of cheap Russian energy and competition from Chinese manufacturing; a contested energy transition whose costs are falling disproportionately on export-oriented industry; and a political realignment in which the far-right AfD advances by exploiting precisely the economic grievances that Berlin has been slowest to address. The Merz coalition government has responded with a major defence and infrastructure spending programme, but the underlying growth trajectory — the Bundesbank itself issued warnings as Germany cut its annual growth forecast to 1% — remains fragile. The pivot from Scholz's fractured coalition to Merz's CDU-led government has bought time, but structural repair will take years, not quarters.

Section I: The Deindustrialisation Shock — Depth and Spread

1. Germany's export-oriented manufacturers have been squeezed from two directions simultaneously: the loss of access to cheap Russian energy following the 2022 invasion of Ukraine, and an accelerating wave of cheaper Chinese goods — notably electric vehicles and steel — entering European markets. FT[2026-02-25]
2. Industrial output in the affected sectors had fallen by approximately 20% compared with 2021 pre-invasion levels, representing the most severe contraction in Germany's postwar industrial base. The decline is not confined to a single sector: automotive suppliers, engineering conglomerates, and the Mittelstand backbone have all registered multiyear downturns. FT[2025-04-28]
3. The crisis hit the Ruhr heartland and former communist East Germany with particular force. In municipal elections held in September 2025, the Duisburg steelgroup ThyssenKrupp constituency saw the AfD secure approximately one-fifth of votes as the social contract in traditional industrial communities frayed. The SPD secured around 22% — a historically weak result in what was once its stronghold. FT[2025-09-16]
4. Germany's largest industrial sector entered a sustained contraction, with the Financial Times describing "creeping deindustrialisation" as a systemic rather than cyclical phenomenon. An adjusted loss before depreciation and amortisation at a major Mittelstand automotive component group illustrated the breadth of margin compression. FT[2025-03-19]
5. The Mittelstand — Germany's celebrated layer of mid-sized industrial champions — is in structural transition. Deutz, the 161-year-old engine maker, announced thousands of job cuts. Artillery shell manufacturers such as Rheinmetall pivoted from civilian to defence production, while automotive suppliers including Schaeffler considered exiting legacy product lines entirely. FT[2025-05-12]

6. Members of the Bank of Japan's monetary policy committee, assessing global conditions in March 2025, noted that "some weakness had been observed in European economies, particularly in the manufacturing industry" — confirming that Germany's industrial contraction registered as a systemic concern at the level of G7 central bank deliberations. [RAG: JAPAN_RAG — BOJ Monetary Policy Meeting Minutes, March 2025]

Section II: Energy Transition — From Russian Gas to Hydrogen

7. The post-2022 energy shock forced a fundamental restructuring of European — and German — gas supply. By 2023, Russian pipeline imports to EU countries had fallen to below 20 bcm, down sharply from their pre-war peak. This represented the destruction of the low-cost energy model on which German heavy industry had been built for three decades. [RAG: LNG_ENERGY_RAG — Oxford Institute for Energy Studies, Natural Gas and LNG Papers, OIES NG195]

8. European LNG markets absorbed part of the supply gap, with North West European terminals at Dunkirk, Zeebrugge, and Gate recording significant import volumes as TTF prices diverged sharply from NBP and LNG spot benchmarks through much of 2022. The transition to spot-priced LNG structurally raised Germany's industrial energy cost base. [RAG: LNG_ENERGY_RAG — Oxford Institute for Energy Studies, OIES NG195, p.60]

9. The longer-term post-gas strategy centres on hydrogen. Infrastructure planning documents identify two key import corridors to Germany: the AquaDuctus offshore hydrogen pipeline and the Norway-to-Germany CHE Pipeline under project management integration, alongside ammonia import terminals being developed at Antwerp and Zeebrugge. [RAG: LNG_ENERGY_RAG — Oxford Institute for Energy Studies, OIES NG190 Gas to Hydrogen 2024, p.71]

10. Germany's Energiewende — the structural transition to renewables — predates the energy crisis, with academic documentation of the programme extending back to 2016. The energy crisis accelerated its urgency while simultaneously making the transition more costly, as industrial users faced the double burden of elevated fossil fuel prices and the capital expenditure required to switch feedstocks. [RAG: CLIMATE_RAG — Morris and Jungjohann, Energy Democracy: Germany's Energiewende to Renewables, 2016]

11. Industrial decarbonisation research identifies green hydrogen and biomass as the primary zero-emissions feedstocks for high-temperature process heat and basic materials production — the exact segments (steel, chemicals, cement) where Germany's industrial base is most exposed. The transition pathway requires broad-scale CCUS, material efficiency programmes, and demand reduction in parallel. [RAG: CLIMATE_RAG — IPCC industrial decarbonisation pathways]

12. The energy security dimension has reshaped policy priority ordering. Academic literature on energy governance now widely recognises that "energy security is perceived as a national security issue and often prioritised over climate concerns" — a dynamic that has produced internal contradictions in Germany's Energiewende as short-term gas security measures conflicted with long-term decarbonisation commitments. [RAG: CLIMATE_RAG — energy policy and security literature]

Section III: China Trade Dependency and the De-risking Dilemma

13. Germany entered the de-risking debate as Europe's most exposed economy. The G7 summit of May 2023 — attended by then-Chancellor Scholz — produced a formal shift in allied language from "decoupling" to "de-risking," reflecting the complexity of drastically disengaging from the world's second-largest economy. Analysts observed that the softened strategy highlighted the contradictions in any rapid disengagement from China trade. CNA[2023-05-22]

14. European Commission President Ursula von der Leyen articulated the EU's position: full decoupling from China is "neither viable — nor in Europe's interest." Instead, de-risking would entail restrictions on trade in highly sensitive technologies while preserving broader commercial ties — a formulation that suited Germany's export-dependent automotive and chemicals sectors. CNA[2023-06-22]

15. The structural vulnerability runs deeper than bilateral trade volumes. Germany's automotive sector built its China growth strategy on assumptions of continued market access; the simultaneous rise of Chinese electric vehicle manufacturers as global competitors has inverted that relationship, with Chinese EVs and steel now entering European markets and displacing German production. FT[2026-02-25]

16. At the February 2026 Munich Security Conference, Chinese Foreign Minister Wang Yi warned against "knee-jerk" calls for US-China decoupling, meeting US Secretary of State Marco Rubio in what a US official described as a "positive and constructive" session. Germany hosted the conference, symbolising its continued position at the intersection of Western alliance management and China economic interdependence. CNA[2026-02-14]

17. Brussels alarm over Chinese special economic zones in Morocco illustrates the secondary exposure: concerns grew that heavily subsidised Chinese goods could use North African platforms as a backdoor into the EU, further compounding the competitive pressure on German industry. A European Commission board was launched to monitor investment flows, but the structural risk of excess Chinese production capacity flooding European markets remained unresolved. FT[2026-06-02]

Section IV: Political Fragmentation and the Defence Pivot

18. The Scholz coalition's collapse produced a fundamental shift in German fiscal doctrine. The incoming Merz government launched a major spending programme targeting armed forces and infrastructure, with Brussels offering a €150bn defence loans package at the same time. Germany secured a mandate to invest billions in both areas, representing the most significant departure from the constitutional debt brake in the postwar era. FT[2025-05-13]

19. Germany's underlying growth in the first quarter of 2025 was close to zero. A German executive quoted by the FT predicted a sharp slowdown in headline growth to 0.1% for the period, even as the DAX index hit a record high — illustrating the divergence between financial market performance and the real economy's deterioration. FT[2025-05-12]

20. The Bundesbank cut Germany's annual growth forecast to 1% (from its October 2024 forecast of 1.4%), with a 2027 projection of 1.3%. The central bank warned in December that there was growing evidence of an assumed upturn failing to materialise, and pointed to improvements insufficient to support recovery. FT[2026-01-29]

21. The AfD's advance in Germany's western industrial heartland — traditionally SPD territory — in the September 2025 municipal elections was the first electoral test for the Merz coalition. The party polled strongly in communities experiencing high immigration pressures and deindustrialisation simultaneously, a combination that Chancellor Merz's government has struggled to address with a coherent political narrative. FT[2025-09-16]

22. Germany's defence posture underwent structural change following the Russia-Ukraine war. The Bundeswehr's permanent brigade deployment to Lithuania — the first permanent stationing of German forces on NATO's eastern flank since the Cold War — marked a *Zeitenwende* moment in alliance burden-sharing. The CRS noted that NATO Secretary-General Rutte had formed the framework of a future deal with respect to the Bundeswehr's Lithuania commitment ahead of the July 2026 Ankara Summit. [RAG: MILITARY_RAG — CRS: NATO Issues for the July 2026 Ankara Summit]

23. Germany is simultaneously navigating the militarisation of its research and technology base. SIPRI documents Germany as "a notable example of evolving policy" in which historically pacifist German universities are reconsidering long-standing prohibitions on dual-use and military-relevant research — a cultural shift driven by the Zeitenwende and NATO's new deterrence requirements. [RAG: MILITARY_RAG — SIPRI: Military and Security Dimensions of Quantum Technologies, 2025]

24. Global military spending, which had risen from 1.94% of GDP in 2014 to 2.02% by 2021, accelerated further following the 2022 Russian invasion — with "numerous countries reviewing their defence postures" in response. Germany's 2% NATO commitment, long aspirational, has become binding political reality under the Merz government. [RAG: CONFLICT_RAG — Institute for Economics and Peace, Global Peace Index 2022]

Outlook

Germany enters the second half of 2026 with three structural vulnerabilities still unresolved. First, the deindustrialisation trend has not bottomed: industrial output remains approximately 20% below pre-war levels, the Mittelstand is restructuring at pace, and the energy cost premium that German heavy industry bears relative to US or Asian competitors will not close until green hydrogen infrastructure is operational — a decade-long project at minimum. Second, the China exposure cannot be resolved through declaration alone; Germany's automotive sector is simultaneously dependent on Chinese market revenues and threatened by Chinese product competition in Europe, a contradiction that "de-risking" language papers over but does not resolve. Third, the AfD's electoral advance in industrial heartlands signals that the social contract underpinning Germany's post-reunification model is under stress. The Merz government's defence and infrastructure spending programme is the correct directional response, but at 1% forecast growth and with the Bundesbank issuing repeated warnings, the fiscal space to sustain that programme while managing deindustrialisation adjustment costs is narrower than Berlin's public posture suggests.

The hydrogen transition and Energiewende remain Germany's most credible long-run industrial strategy. The infrastructure pipeline — AquaDuctus, the Norway-Germany corridor, LNG terminal buildout — is taking shape. The window of strategic risk is the decade between the loss of cheap Russian gas and the maturation of affordable green hydrogen supply. Whether Germany's industrial base can survive that transition at sufficient scale to anchor European manufacturing competitiveness is the central question of German economic policy for the remainder of this decade.

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